

CoreWeave

**Favorable Demand & Leadership in AI Infrastructure
Balanced by Limited Near-Term Margin Upside;
Maintain Neutral & Establishing Dec-27 Price Target of
\$110**

In this report, we discuss some of the top-of-mind themes for investors, which in aggregate leave us with a constructive outlook for CoreWeave which has established itself as a leader in scaling AI compute while at the same time continuing to progress towards an increasingly relevant PaaS vendor with high-margin hardware and software attach to the offered compute. We are favorable on the demand outlook for CoreWeave, with recent datapoints in relation to pricing for compute deals from SpaceX highlighting the supply-demand imbalance in the industry, which we forecast to widen in the medium-term. In relation to investor concerns relative to the risks associated with sustainability of demand and overcapacity on account of lower demand in the future, we believe CoreWeave is appropriately mitigating risk through capacity investments tied to specific customers and also by limiting challenges from component price inflation by locking in supply for a committed customer, even though both of the above, on the flip-side, do limit the magnitude of upside to near-term forecasts. Despite our favorable outlook for the company, we envision execution to margins is the most critical watchpoint for investors and, in that regard, we see limited near-term catalysts with our forecast for F3Q Op. margins of 7.0% vs. consensus of 7.5%, leading us to stay Neutral rated at this time.

- Favorable view on demand, leadership in technology, and business model.**
We have a favorable view on the long-term demand drivers for the AI infrastructure industry with the imbalance between compute demand and supply apparent in the favorable pricing for on-demand compute in the industry, for example with SpaceX's contracts with Anthropic and Google. Additionally, CoreWeave's technology leadership is already well established by not only its ability to scale capacity at a rapid pace, which rivals most of the prominent AI infrastructure builders, but also in relation to the software stack which enables the company to make progress towards being a full-fledged hyperscaler with a PaaS offering. Lastly, in relation to the business model, we believe the company balances downside risk by building capacity towards only committed customers and contracting supply to limit challenges from change in input prices, which is balanced by limited upside risk from committed pricing, to ensure a healthy margin contribution.
- Maintain Neutral on limited near-term catalysts in relation to margins.**
Our favorable outlook for the industry and for CoreWeave's ability to stand-up capacity and drive healthy margins is, however, balanced by the near-term visibility in relation to the most critical watchpoint for investors, which are margins. Investors understand the cash flow impact of capex running ahead of revenue realization, but are looking for healthy margins to be the key watchpoint on execution, in relation to which we believe F3Q operating margin of 7% vs. consensus of 7.5% limits near-term positive catalysts; we remain Neutral.

Neutral

CRWV, CRWV US

Price (10 Aug 26):\$88.19

▲ Price Target (Dec-27):\$110.00

Prior (Dec-26):\$105.00

Software - Large Cap / Mid & Small Cap

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (\$)	(2.49)	(1.74)	29.9%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	(0.32)	(1.12)A	(0.54)
Q2	(0.27)	(1.43)	(0.68)
Q3	(0.08)	(1.47)	(0.53)
Q4	(0.56)	(1.08)	(0.00)
FY	(1.24)	(5.09)	(1.74)

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	96	91	94		
Growth	51				
Momentum	99	22			
Quality	81	88	91	96	89
Low Vol	96	96	100		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 28 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	23.2%	-0.8%	-22.7%	-31.9%
Rel	9.9%	-3.1%	-27.5%	-53.6%

Company Data

Shares O/S (mn)	640
52-week range (\$)	153.20-60.55
Market cap (\$ mn)	56,442.55
Exchange rate	1.00
Free float (%)	84.3%
3M ADV (mn)	28.88
3M ADV (\$ mn)	2,808.1
Volatility (90 Day)	98
Index	S&P 500
BBG ANR (Buy Hold Sell)	29 11 3

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,131	12,501	27,397	46,201
Adj. EBIT	668	941	3,805	6,893
Adj. EBITDA	3,095	7,259	16,956	28,145
Adj. net income	(605)	(2,713)	(951)	(594)
Adj. EPS	(1.24)	(5.09)	(1.74)	(1.07)
BBG EPS	(1.31)	(3.86)	(1.24)	2.10
Cashflow from operations	3,058	9,149	20,122	36,896
FCFF	(8,141)	(26,486)	(33,431)	(37,389)
Margins and Growth				
Revenue Growth Y/Y (%)	167.9%	143.6%	119.2%	68.6%
EBIT margin	13.0%	7.5%	13.9%	14.9%
EBIT Growth Y/Y (%)	87.6%	40.9%	304.5%	81.1%
EBITDA margin	60.3%	58.1%	61.9%	60.9%
EBITDA Growth Y/Y (%)	153.9%	134.5%	133.6%	66.0%
Net margin	(11.8%)	(21.7%)	(3.5%)	(1.3%)
Adj. EPS growth	757.9%	311.3%	(65.8%)	(38.8%)
Ratios				
Adj. tax rate	(16.4%)	(30.8%)	(25.3%)	(17.8%)
Interest cover	2.6	2.4	3.3	3.7
Net debt/Equity	5.2	14.4	34.2	62.8
Net debt/EBITDA	5.6	6.0	4.5	4.1
ROE	(26.1%)	(85.1%)	(35.9%)	(29.2%)
Valuation				
FCFF yield	(18.9%)	(56.4%)	(69.5%)	(76.0%)
Dividend yield	-	-	-	-
EV/Revenue	14.4	8.0	4.9	3.7
EV/EBITDA	23.9	13.8	7.9	6.1
Adj. P/E	NM	NM	NM	NM

Summary Investment Thesis and Valuation

Investment Thesis

We have a constructive outlook on CoreWeave which has established itself as a leader in scaling AI compute while at the same time continuing to progress towards an increasingly relevant PaaS vendor with high-margin hardware and software attach to the offered compute. We are favorable on the demand outlook for CoreWeave, with recent datapoints in relation to pricing for compute deals from SpaceX highlighting the supply-demand imbalance in the industry, which we forecast to widen in the medium-term. In relation to investor concerns relative to the risks associated with sustainability of demand and overcapacity on account of lower demand in the future, we believe CoreWeave is appropriately mitigating risk through capacity investments tied to specific customers and also by limiting challenges from component price inflation by locking in supply for a committed customer, even though both of the above, on the flip-side, do limit the magnitude of upside to near-term forecasts. Despite our favorable outlook for the company, we envision execution to margins is the most critical watchpoint for investors and, in that regard, we see limited near-term catalysts, leading us to stay Neutral-rated at this time. We rate CoreWeave Neutral.

Valuation

We are establishing a Dec-27 PT of \$110 based on a ~27x EV/PF EBIT, which is derived from our CY28 PF EBIT estimate of \$6.9B for CoreWeave.

Performance Drivers

Market	14%
Sector	5%
Macro	7%
Style	12%
Idiosyn.	62%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.45	0.41
Sect: Technology	0.10	0.26
Ind: Software & Serv	-0.24	-0.07
Macro:		
Economic Surprise	-0.23	-0.16
US 10yr Breakeven	0.19	0.13
US 10yr yield	0.13	0.10
Quant Styles:		
Momentum	0.32	0.36
LowVol	-0.37	-0.36
Size	0.33	0.34

Key Topics & Debates

1. Demand visibility feeds into confidence, limited risk of overbuilding for medium-term

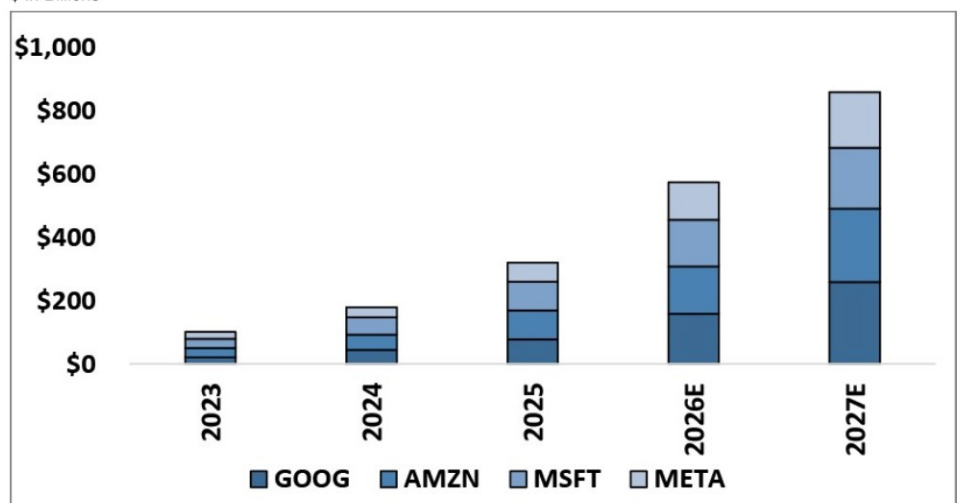
Demand visibility remains high with hyperscaler capex outlooks supporting steep ramp for IaaS and PaaS solutions.

CoreWeave is a NeoCloud, aspiring to scale to the infrastructure and platform services provided by hyperscalers to a wide variety of customers ranging from AI-natives to Enterprise customers. While CoreWeave's differentiation in standing up infrastructure and providing access to leading edge compute along with services meant to enable high token efficiency is one of the drivers of adoption for CoreWeave's infrastructure by a wide variety of customers, the hyperscale-led demand is, in part, one account of the challenges that hyperscalers face in scaling compute and infrastructure to their own rapidly increasing requirements, which include: 1) larger training clusters for higher performing and leading LLM models; and 2) the ability to address higher volumes of inferencing which is key to monetizing the AI opportunity.

As outlined in the hyperscale capex projections from the JPM technology Hardware & Networking team, we expect hyperscaler capex to continue to increase substantially in the coming years, following the rapid pace of increases in recent years, with their need to scale compute driven by both training and (more so) inferencing workloads. While hyperscaler capex in and of itself is not a direct indicator of demand for infrastructure and platform services for CoreWeave from hyperscalers, we believe the steep ramp in infrastructure requirements showcase the challenges that hyperscalers will face in ramping infrastructure to their plans, causing them to rely on capacity from NeoClouds, including CoreWeave, to help them with their own demand.

Figure 1: Annual Hyperscaler Data Center Capex

\$ in Billions



Source: 650 Group and J.P. Morgan Hardware & Networking Team estimates

Strength in demand also evidencing itself in robust AI compute prices highlighting that capacity demand is overwhelming efficiency considerations.

Investor concerns over cloud providers potentially overbuilding AI cloud infrastructure has been top of mind ever since cloud capex began to rise to historically high levels, both in absolute dollars and as a percentage of revenue, in particular, putting the hyperscalers on a path for capex to exceed their cash flow generation, driving higher scrutiny around returns as companies put leverage on their balance sheet to fund their capital plans. However, in our view, looking beyond the spending plans alone from hyperscalers, concerns around overcapacity in infrastructure is further mitigated by recent datapoints in relation to demand for all generations of AI accelerators, including rising prices across leading edge compute chips as well as for less-than leading edge compute chips in which the customers have to sacrifice efficiency and economics for their capacity needs. The recent rise in rental GPU prices for prior generations, including YTD increases of 21% on Ampere and 21% on Hopper, in conjunction with the 32% increase in Blackwell, serves to highlight the overwhelming requirements for compute capacity led by the surge in inferencing as companies increasingly shift their focus towards monetization through inferencing.

Figure 2: Time Series of Prior Generation GPU Pricing

% Change in Price



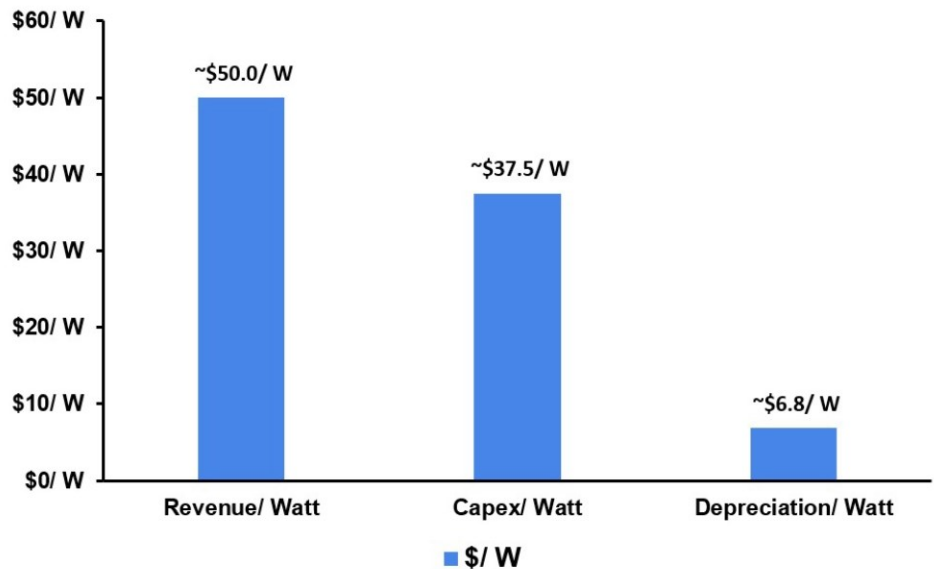
Source: Bloomberg Finance L.P., J.P. Morgan Hardware & Networking Team

Meta's pursuit of a Cloud-like infrastructure model does not challenge demand visibility, rather it highlights the attractiveness of the revenue model.

Investors have been increasingly concerned about growing competition in the IaaS market with compute capacity now being offered by more companies, including SpaceX and Meta. Despite this, we don't believe the increasing competition in the IaaS market implies excess compute capacity as much as it points to the attractiveness of the revenue model with high margins that competitors are looking to preserve the optionality to participate in. For example, SpaceX's recent, premium-pricing agreements with customers like Anthropic and Google were struck at a reported \$50/ Watt on Blackwell chips; our sense is that capex/ Watt on the Blackwell architecture lands in the \$35-40/ Watt range, resulting in an annual cost of \$6.50+/ Watt, when using a 5-6 year depreciable life, per SpaceX's useful life estimates for "servers and networking equipment", which supports the opportunity for meaningfully high margins in catering

to the current demand for compute. While we acknowledge that pricing for longer-term contracts signed by CoreWeave is materially lower than on-demand compute, the margin opportunity offered on short-term contracts is a better reflection of the current environment.

Figure 3: Illustrative Economics for Premium SpaceX Blackwell Capacity Deals



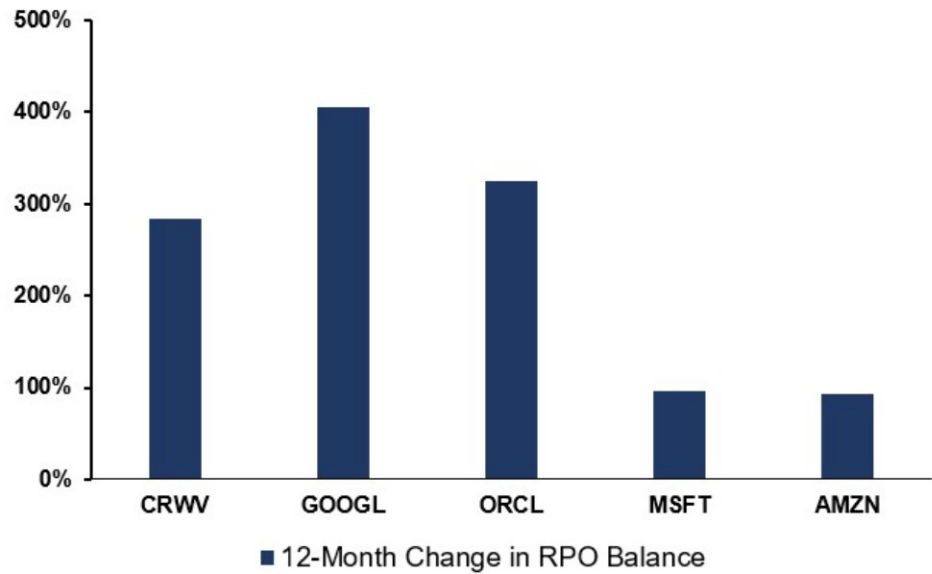
Source: Company filings, J.P. Morgan

Inflection in revenue backlog also attests to strong demand and share.

With a contract duration on average closer to 5 years, CoreWeave's agreements with customers push a lot of the expected revenue over the lifetime of the contract into revenue backlog. The 284% increase y/y in revenue backlog from \$25.9 bn in F1Q25 to \$99.4 bn in F1Q26 showcases the significant increase in demand from customers, which we believe represents both the strong underlying demand drivers as well as share gains for CoreWeave. Shown in the Figure below is the 12-month change in CoreWeave's revenue backlog relative to hyperscalers.

Figure 4: CoreWeave vs. Hyperscaler 12-Month Change in RPO Balance

% Change in Y/Y RPO Balance



Note: CRWW's RPO + "Other amounts..." or Revenue Backlog is used in place of reported RPO. Figures are as of 1Q CY26 for equal comparison with CRWW.

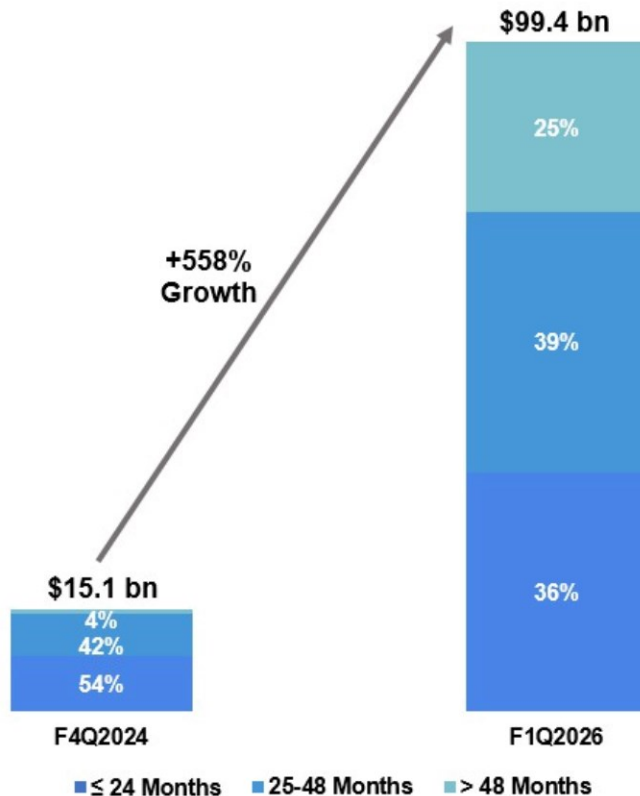
Source: Bloomberg Finance L.P., J.P. Morgan

Increasing mix of long-term revenue backlog shows customer demand with longer duration visibility.

As shown in the Figure below, the longer-term i.e. > 48 month portion of CoreWeave's revenue backlog balance has increased from 4% in F4Q24 to 25% in F1Q26, which is associated with customer confidence in their own capacity needs over time and willingness to incorporate CoreWeave into their longer term capacity plans.

Figure 5: Change in CoreWeave's Revenue Backlog Duration Mix

CoreWeave's Contract Duration Mix as a % of Total Revenue Backlog



Source: Company filings, J.P. Morgan

Note: We are comparing F4Q2024 and F1Q2026 instead of F1Q2025 and F1Q2026 in this figure because the \$11.2 bn backlog add associated with OpenAI was not recognized in RPO as of quarter-end F1Q2025, which skews the % of RPO splits that CoreWeave discloses. "Other amounts of estimated future revenue recognized from existing committed customer contracts" of ~\$600 mn is added to > 48 months backlog in F1Q2026.

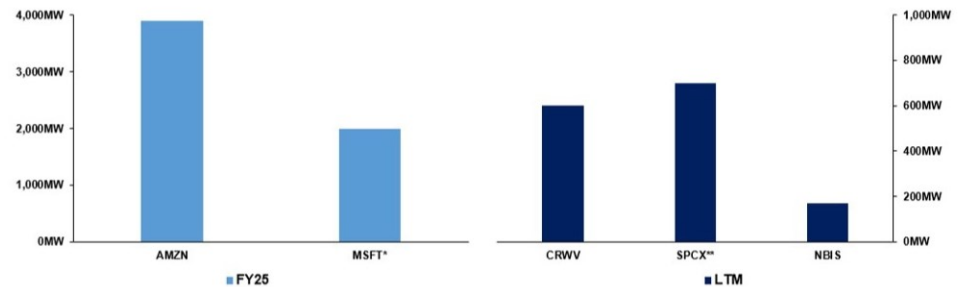
2. Differentiation through services key to "hyperscaler" aspirations over perception of "bare metal" provider

CoreWeave has scaled the platform rapidly and has established itself as industry-leading in capacity behind the hyperscalers, which puts them firmly on the roadmap for their aspirations of becoming a hyperscaler long-term.

We believe CoreWeave is leading the NeoClouds in relation to capacity increases and positioning itself to capture strong revenue share of the market; the magnitude of capacity added over the last 12 months of about 600MW compares favorably to 170MW added by Nebius and less than 300MW added by IREN (includes both AI and non-AI capacity). That said, the company is lagging hyperscalers in the pace of capacity addition, when compared to Amazon adding 3.9GW in 2025 and Microsoft adding 2GW of capacity in FY25 ending June 2025 (and 3GW+ of capacity in FY26) and SpaceX adding about 500MW in CY25 and ~200MW in F1Q26 (+~400MW in F2Q26). As

shown in the Figure below, hyperscalers are able to add materially higher capacity, but CoreWeave is a leader in capacity adds amongst the NeoClouds.

Figure 6: Hyperscaler vs. Neocloud Active Capacity Adds



Note: MSFT* FY25 is June 2025 ending; SPCX** does not disclose LTM active capacity adds - figure represents last 15 months. LTM figures are LTM ending March 2026. Active Capacity is defined differently per company.
Source: Company filings, J.P. Morgan

As shown in the Figure below, CoreWeave has scaled infrastructure rapidly, improving its share within the IaaS market as defined by Gartner from 1% in 2024 to 2.1% in 2025, with the company only lagging major global hyperscalers in its share of the market.

Figure 7: Top 10 IaaS Providers by Market Share, Worldwide, 2025

Current Year Rank	Prior Year Rank	Vendor Name	2025 Market Share (%)	2024 Market Share (%)
1	1	Amazon	34.80%	36.50%
2	2	Microsoft	24.20%	23.20%
3	3	Google	9.50%	8.80%
4	4	Alibaba Group	7.70%	7.20%
5	5	Huawei	3.40%	4.00%
6	6	Tencent	2.20%	2.30%
7	12	CoreWeave	2.10%	1.00%
8	7	Oracle	1.70%	1.50%
9	8	Inspur Cloud	1.50%	1.40%
10	9	IBM	1.20%	1.40%
		Other Services Vendors	11.70%	12.80%
		TOTAL MARKET	100.00%	100.00%

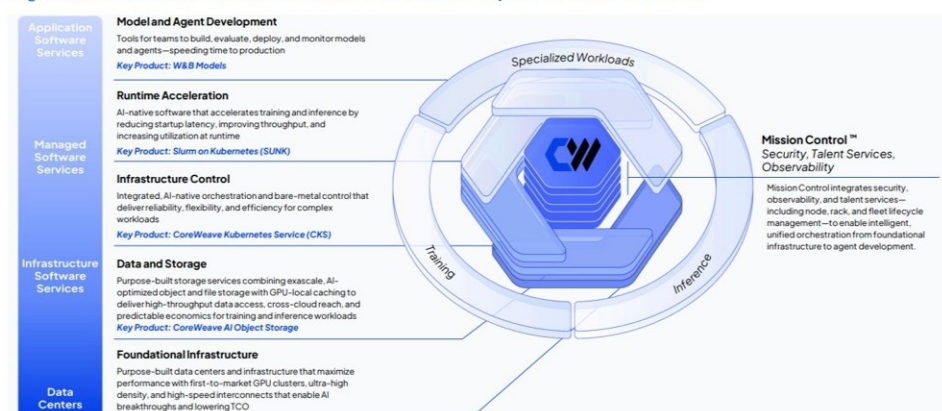
Source: Gartner, J.P. Morgan

CoreWeave's full-stack AI offering is best-in-class for the industry.

Despite boasting an industry-leading ability to scale compute infrastructure rapidly, CoreWeave's capability to provide a full stack offering to customers for their AI workload needs is in contrast to investor perception of CoreWeave as a "bare-metal provider." However, within the context of AI workloads, the offering to customers goes well beyond the pure delivery of compute infrastructure and extends into offering

security and orchestration, as well as its ability to run containerized AI workloads, along with the seamless integration with networking and storage to provide a full stack solution which delivers the best performing compute infrastructure to customers not only in terms of capabilities but also cost. As evidenced by SemiAnalysis rankings, referred to as the SemiAnalysis Platinum ClusterMax ranking, CoreWeave has consistently been the highest ranked Cloud, ahead of peers like Oracle, Nebius, Crusoe, Lambda and IREN. We believe the rankings are a validation that 1) there is more to offering higher performing AI compute infrastructure beyond securing power and enabling the GPU compute, and there are opportunities to differentiate within what might appear to investors in some cases to be a more commoditized offering; and 2) CoreWeave has managed to sustain its lead in differentiation despite increasing competition.

Figure 8: Breakdown of CoreWeave's Full-Stack Purpose-Built AI Platform



Source: Company presentation.

Purpose-Built Inference Platform: A Key Differentiator vs. CSP Competitors.

As AI deployments in production and inference workloads scale globally, a potential vector for differentiation may come from CoreWeave's AI Inference platform, which is purpose-built for serving AI compute workloads. CoreWeave's inference platform includes three distinct "inference paths": 1) Serverless Inference, a fully-managed, on-demand, pay-per-token service best for *"rapid iteration and AI app development"*; 2) Dedicated Inference, a fully-managed, reserved instance service for production workloads at scale; and 3) Inference on CKS, CoreWeave's full self-managed, "bare-metal" inference service on CoreWeave Kubernetes Service (CKS), which allows for full infrastructure stack control while renting CoreWeave-owned AI accelerators. Additionally, CoreWeave continues to achieve strong performance in the industry-standard MLPerf Inference benchmark, last year becoming the first cloud at the time to submit MLPerf Inference v5.0 results for GB200 instances, delivering a 2.86x performance boost (in per-second token throughput) vs. the same benchmarking with H200 GPUs, and more recently announced v6.0 results which delivered the fastest time-to-train on a 8,192-GPU GB300 NVL72 cluster of 2.02 minutes on DeepSeek-V3 and achieved a 2.80x "wall-clock speedup" against its own MLPerf training result on v5.0 against the same benchmark (1.70x more useful work per GPU-minute).

Attach of higher-margin compute adjacencies increasing, reflecting the higher stickiness of the platform as customers focus on efficiency.

As outlined by CoreWeave recently, more than 90% of their reserved instance customers use at least two of their products while more than 75% use three or more, reflecting the

resonance of the offerings that extends to multiple parts of the infrastructure software and hardware stack required for customers to get the best performance from their AI compute. The increasing attach of multiple parts of the stack offering is leading to CoreWeave's confidence in Software, CPU and Networking individually all exceeding \$100 mn in ARR by end of 2026. We estimate customer diversification will enable a much faster increase in the mix of revenue/ ARR from compute adjacencies with lower attach typically with hyperscaler customers.

Expert insights highlight that CoreWeave is leading both in bare-metal solutions as well as with its full-stack offering.

CoreWeave is focused on offering the full-stack solution to customers; however, hyperscaler customers tend to pick a lower number of products and stay closer to "bare metal" offering given their established competence in software capabilities. Our conversations with industry experts indicate that in relation to the bare metal services, CoreWeave is offering ultra-low latency, bare metal solutions with early access to Nvidia GPUs, and its power and cooling infrastructure, including investments in SMRs and liquid cooling, is a key differentiator vs. competitors. In relation to the success of CoreWeave's platform and the differentiation to Public Cloud solutions from the likes of Azure and AWS, experts believe CoreWeave's approach to remove the hypervisor and run code directly on bare metal provides developers more flexibility through access to PCIe or NVLink with limited overhead.

CoreWeave's clusters well positioned for agentic AI era as well.

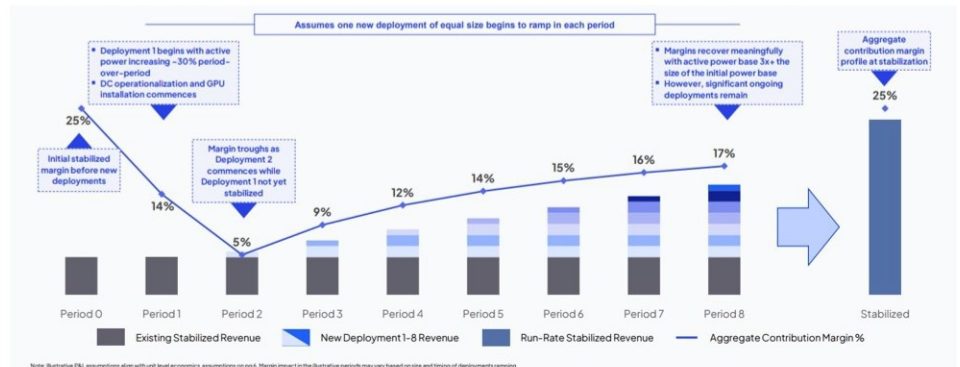
Experts believe the acquisition of Weights & Biases positions CoreWeave to offer more developer-friendly architectures focused on agentic AI solutions to be pursued by developers. Additionally, CoreWeave's focus on running code on bare metal enables better orchestration of micro tasks without the software friction of a VM. That said, while most experts acknowledge that public clouds offer a much broader service, specialized AI cloud providers like CoreWeave are able to offer significantly faster services for AI workloads, with some claiming 8-10x performance over major public clouds like AWS.

3. Margin performance influenced by significant growth, but recovery is in sight

F1Q margin trough driven by timing, rather than pricing pressure.

The margin trajectory of the company, influenced by the build out of infrastructure, has led to investor concerns, heightened further by the 1% pro-forma operating margin reported by the company in F1Q26. Even though CoreWeave had already highlighted to investors the likelihood of a margin trough in F1Q26, investors remain concerned about the magnitude of the moderation that the company has seen from 22% in F2Q24 to 1% in F1Q26. However, we believe the timing difference between revenue and capex investments to support the revenue are the primary drivers of the margin moderation, rather than margin pressure from 'compute commoditization' that investors fear. Per the illustrative example in the Figure below, data center buildouts carry front-end-loaded costs such as facility lease, power, and technical labor, which is incurred roughly a month ahead of the GPU installation ramp (itself a ~month-long process), with the associated revenue ramping in subsequent periods. As capacity gets added at a materially faster pace, the implied impact to operating margins becomes more significant than highlighted in the illustrative example.

Figure 9: Illustrative Example of Ramping Multiple New Deployments Across Periods



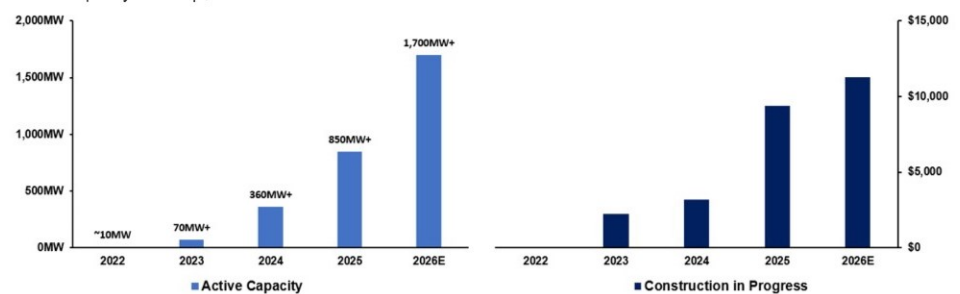
Source: Company presentation

Pace of capacity expansion portends material revenue ramp despite margin pressures.

As shown in the Figure below, CoreWeave has ramped active power from ~10MW in 2022 to 70MW+ in 2023, to 360MW+ in 2024, and to 850MW+ in 2025, and is expected to end 2026 with 1.7GW+ of active power. The doubling of active power over 12 months expected between F4Q25 and F4Q26 positions the company for a rapid ramp in capacity, which also delivers headwinds to margins from the inconsistent timing between revenue and costs. That said, the moderation in margins is in conjunction with the increase in Construction in Progress (as shown in the Figure below), which has increased from \$4 bn in F1Q25 to \$9.6 bn in F1Q26, and while we expect the absolute dollar value of CIP to increase through the year with planned ramp in capacity, we expect the relative mix of capex towards CIP to moderate and help margins as higher mix of capacity starts generating revenues at a full run-rate and overwhelm the magnitude of capacity which is yet to ramp fully and is recognized at lower margins.

Figure 10: Active Capacity and CIP Balances Since 2022

Active Capacity in MW | \$ in Millions



Note: CIP balance ending FY22 is undisclosed in Company filings

Source: Company filings, J.P. Morgan

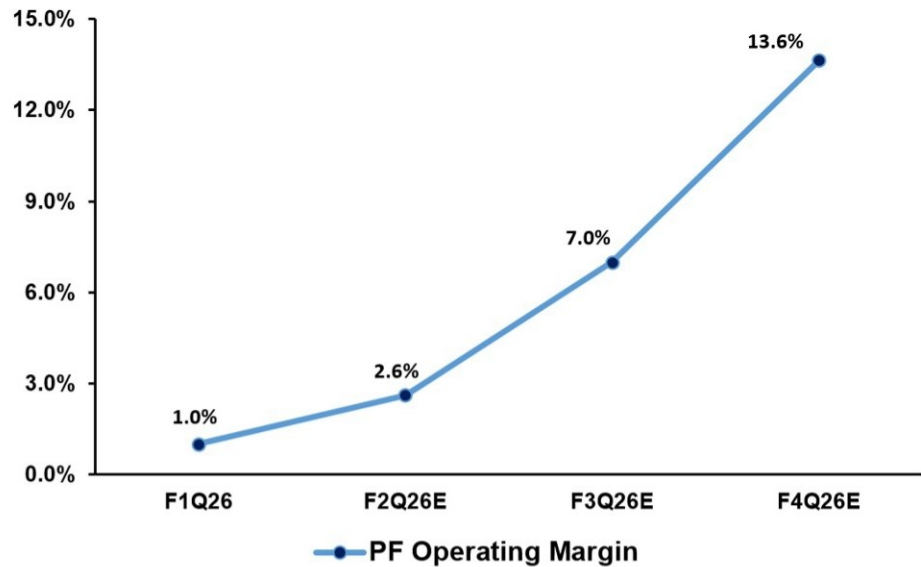
That said, path of margin improvement will be more back-end loaded for the year.

While we expect F1Q to represent the trough in margins for the company, as outlined by management already, we caution that the magnitude of the improvement might be more moderate in the near quarters and back-end loaded into F4Q, in line with company guidance, to achieve low double-digit margins in F4Q. As shown in the Figure below, we forecast CoreWeave to achieve the low double-digit margins it has outlined for F4Q but the path to it might be comprised of low single-digit margins in F2Q26 (in line with guidance) and potentially high-single digit margins in F3Q26 (modestly below

consensus in our view).

Figure 11: FY26 Quarterly PF Operating Margin Estimates

PF Operating Margin (%)



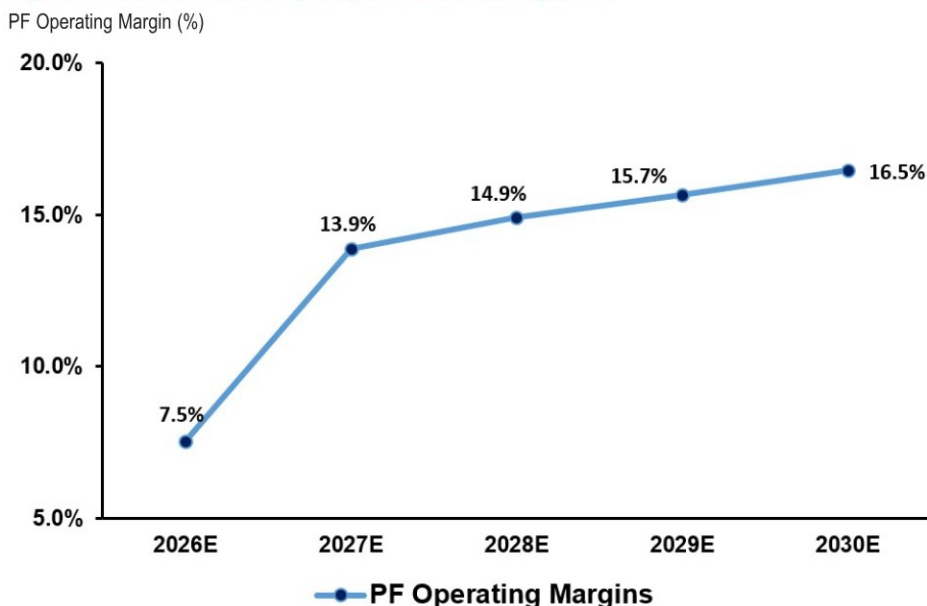
Note: J.P. Morgan estimates from F2Q26-F4Q26

Source: Company filings, J.P. Morgan

Our long-term margin expectations remain below the mid-20 percent run-rate promised on account of robust capacity build which supports offsetting revenue upsides.

Company management has outlined long-term margin expectations in the mid-20% range based on targeting mid-20s% project-level contribution margins for all new and outstanding deals. However, due to timing-related margin headwinds from rapid capacity builds and our expectations for sustained high demand visibility through the medium-term, we expect achieving the long-term margin target becomes more likely when growth moderates to the 20%+ revenue growth level. Based on our expectations for capacity growth, which support revenue drivers more than currently anticipated, we forecast margins to remain below mid-20% level at the end-of-the-decade.

Figure 12: Annual PF Operating Margin Estimates Through FY30



Source: J.P. Morgan

4. Margin outperformance potentially from higher attach of other services as well as pricing on strong demand

Base case margins could see upside from stronger demand and pricing.

The base case margin expectations outlined above are underpinned by the mid-20% margin that management has spoken to in relation to its deployment projects; that said, if compute demand were to continue to remain strong and pricing continues to strengthen led by strong demand, we could envision upside to margins for the company relative to our base case expectations. In keeping with strong demand feeding into richer pricing, management highlighted on the F1Q26 earnings call that they are already seeing price appreciation, including for Ampere and Hopper chip generations, as inference workloads increase. The favorable pricing backdrop is also corroborated by commentary from competitors, including Nebius, which highlighted *“strong market demand is translating into pricing gains in our latest sales”* on its latest earnings call.

However, CoreWeave is more focused on longer-term agreements over near-term pricing gains.

While the favorable pricing environment is a tailwind for all NeoClouds, including CoreWeave, the company has opted to prioritize longer term contracts with demand visibility in contrast to peer companies with compute capacity instead opting for shorter-term contracts with greater leverage to real-time pricing. The preference for higher visibility in the longer-run also in part is tied to the financing mechanisms CoreWeave primarily relies on, which are asset backed in nature, but in aggregate will mitigate the magnitude of upside from pricing relative to peers. For example, the average duration of a contract for CoreWeave is closer to 5 years relative to peers like Nebius with average contract duration closer to 1 year.

Leading edge compute scaling up and ancillary products/ solutions remain a vector for upside.

Even as the pricing upside opportunity is limited relative to peers by the longer average duration of the contracts, we still envision the strong demand backdrop supporting a better opportunity for CoreWeave through the following avenues, including: 1) higher attach of ancillary solutions as part of its full-stack offering with customers focused on the combination of performance, costs, high utilization and scalability of deployments; 2) expect scaling up leading edge compute for customers with performance leadership, including with the upcoming Vera Rubin generation of GPUs, to provide the company an opportunity for both premium pricing and margins, with the company's close partnership with Nvidia supporting sustainability of its leadership position in the industry.

Limited contract-related pricing risks despite investor fears.

The inflationary backdrop in relation to data center equipment, including memory and processors, are leading to concerns from investors around CoreWeave's ability to pass on the inflationary increase to customers once the planned capacity increase is dedicated to a specific customer well ahead of deployment. However, we believe CoreWeave limits the risk with the approach of locking in capacity demand, pricing for the capacity, and cost of the capacity, in relation to booking all technology infrastructure, all in all, leaving little room for downside from inflationary pressures, at the same time, leaving less room for upside from pricing changes in the time between the agreement signing and deployment.

North star for the company remains the mid-20% contribution margin, which achieving, likely on slower growth, will represent upside to consensus expectations.

Locking in the power and capacity required to deliver the promised compute along with locking in the equipment orders to support the promised deployment ahead of time enables the company to more definitively solve for a path toward its targeted return from each project/ agreement, which the company targets to be in the mid-20s%. With the defined margin structure for each project/ agreement, we believe the risks to attaining the target margin on each project primarily stems from execution, as customers look for delivery of capacity on promised timelines, with execution missteps leading to potential cancellations or revisions of agreements. That said, the current strong demand backdrop does limit execution-led financial risk at this time, with multiple alternate customers potentially willing to leverage available capacity if primary customers were to pass on the commitments.

5. Concern around rapid depreciation lifecycle for GPUs has been steadily debunked

Short depreciable life of GPU compute has been debunked as a potential challenge for the industry to navigate over recent months.

In late 2025, the useful life of GPUs was a highly contested topic amongst the investor community as bears primarily pointed to the increasing cadence of next-generation accelerator product launches as potential evidence that GPU useful lives were far shorter than the 5 or 6 years that cloud providers were using to depreciate the equipment. However, since the start of the year and especially over the last few months, incremental datapoints have largely been able to debunk those concerns, with the most emphatic datapoints including: 1) increases in prices for less-than leading edge GPU chips, including 21% and 24% increases, respectively, in prices of Ampere and Hopper chips

on a YTD basis, and 2) long-term contracts from customers locking in capacity, for example, Akamai recently announcing a 7-year contract with a customer with the underlying contract locking in use of the same compute architecture for the entire duration of the contract. As highlighted by the chart below from CoreWeave, the useful life of compute has, on average, tracked or is expected to track closer to 7-8 years relative to the average customer contract length of 5 years, as well as, the 6 years used by the company for GAAP accounting depreciation purposes.

Figure 13: Illustrative Example of Observed CoreWeave GPUs In Usage Beyond Depreciable Lives

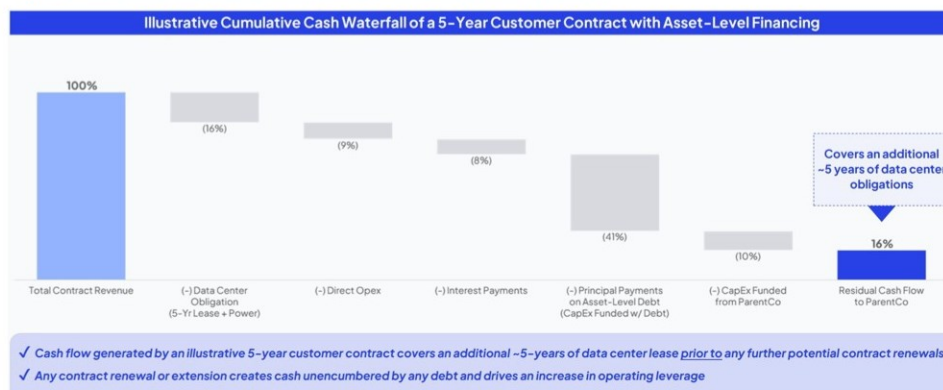


Source: Company presentation

Differential remains between facility leases and contract length, but facility costs can be supported by much lower pricing of compute. Although the useful lives of compute, as evidenced by the company's observed GPUs in-market, is longer than the assumptions embedded in depreciation as well as the contract duration with customers, limiting risk for CoreWeave, the lease duration of the facilities are, however, longer than the average contract duration. CoreWeave primarily employs a powered shell strategy for its operationalized data centers, serving as tenants of data center partners who provide the building and secured power for the company. CoreWeave discloses in its FY25 10-K that data center leases carry initial terms of five to fifteen years, with some having lease extension options of up to ten years, noticeably longer terms than the company's typical customer contracts. However, we believe that for investors worried about lack of demand for the capacity following the ~5 year contract period, it should be kept in mind that the annual cost of the lease and power for the facility is about 1/6th the revenue opportunity in year 1, **implying that:**

- 1) signing contracts with customers at even a fraction of the current price should enable the company to break even on a cash flow basis on the facility for the second 5-year period on a stand-alone basis, following the cash generated in the first 5-year period
- 2) to the extent that the company cannot find a customer for the facility for the second five year period, the cash flow generated over the first 5-year period is adequate to cover the remaining data center obligations for the second 5-year period under an illustrative 10-year timeframe of the lease

Figure 14: Illustrative Economics of a 5-Year Customer Contract



Source: Company presentation

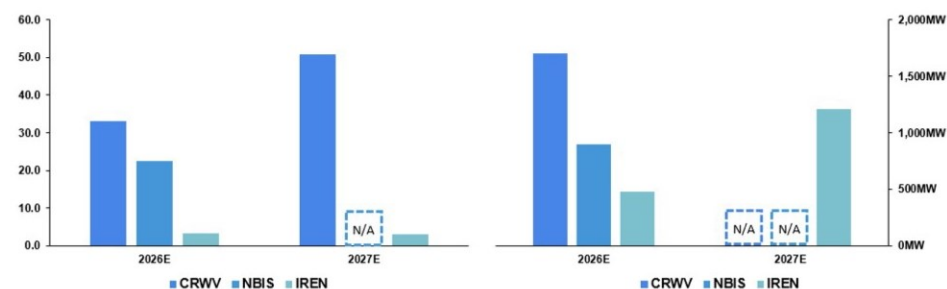
6. Cost of capital is a differentiator in “hyperscaler” business

Access to capital is also a moat in the “hyperscaler” business.

Investors have debated the competitive moat and differentiation for NeoClouds, which are offering compute capacity to customers with the value-add and criticality of their full-stack solutions being sold to a wide group of customers beyond the “bare metal” solutions sold to some hyperscalers. That said, we believe the underappreciated moat in relation to scaling the compute business is access to capital. With 2026E capex of \$31-\$35 bn relative to revenue of \$12.5 bn highlighting the capital intensity of the business, the ability of CoreWeave to access capital consistently to fund its capital plans is critical to the success of its own aspirations of being a hyperscaler in the future, but is also a key competitive differentiation to other companies looking to compete with CoreWeave in capacity. Highlighted below are the capital expenditure plans from NeoClouds including CoreWeave, IREN and Nebius and their estimated 2026 and 2027 year-end active power.

Figure 15: NeoCloud Capex & Active Capacity Projections

Capex Projections (\$ bn) | Active Capacity in MW



Note: Capex & active capacity projections for CRWV and NBIS in 2026E are company guidance; capex projection for CRWV in 2027E is JPMe; capex projections for IREN in both 2026E and 2027E are JPMe (IREN is covered by Communications Infrastructure analyst, Richard Choe); active capacity projections for IREN is company guidance

Source: Company filings, J.P. Morgan

Robust balance sheet and IG rating for hyperscalers put them at a competitive advantage.

As shown in the Table below, hyperscalers are IG-rated, while CoreWeave’s corporate credit is rated B+ (BBG Composite). That said, CoreWeave is leveraging asset-backed financing through its DDTL financings, which can carry an IG rating as evidenced by its

DDTL 4.0, and is allowing CoreWeave to close the gap relative to hyperscalers in relation to access to capital.

Figure 16: Hyperscaler and NeoCloud Corporate Credit Ratings

Company	Moody's Rating	S&P Rating	Fitch Rating	Outlook
MICROSOFT	Aaa	AAA	WD	STABLE
ALPHABET	Aa2	AA+	NA	STABLE
AMAZON	A1	AA	AA-	STABLE
META PLATFORMS	Aa3	AA-	NA	STABLE
COREWEAVE	Ba3	B+	BB-	POS
NEBIUS GROUP	NA	NA	NA	NA

Source: Bloomberg Finance L.P., J.P. Morgan

CoreWeave's differentiation lies in its 'One-of-One' financing approach, helping lower cost of capital significantly.

CoreWeave employs a cost-optimized financing approach to fund its rapidly growing capex, pioneering the GPU-backed delayed-draw term loan (DDTL) structure for its larger contracts (AssetCo financing). As per the company, the DDTL financing is typically able to cover a very high percentage (~90%-100%) of the capex needs when the customer is IG rated like a hyperscaler, but a lower percentage (~70%-75%) for the non-IG rated customers that are part of the more diversified base of customers for the company, which together on a blended basis would equate to ~80% of the capex. With about 80% of the capex funded by Asset-level financing, the remaining 20% is funded by ParentCo financing which involves a mix of convertible debt, high-yield debt, and equity (ParentCo financing).

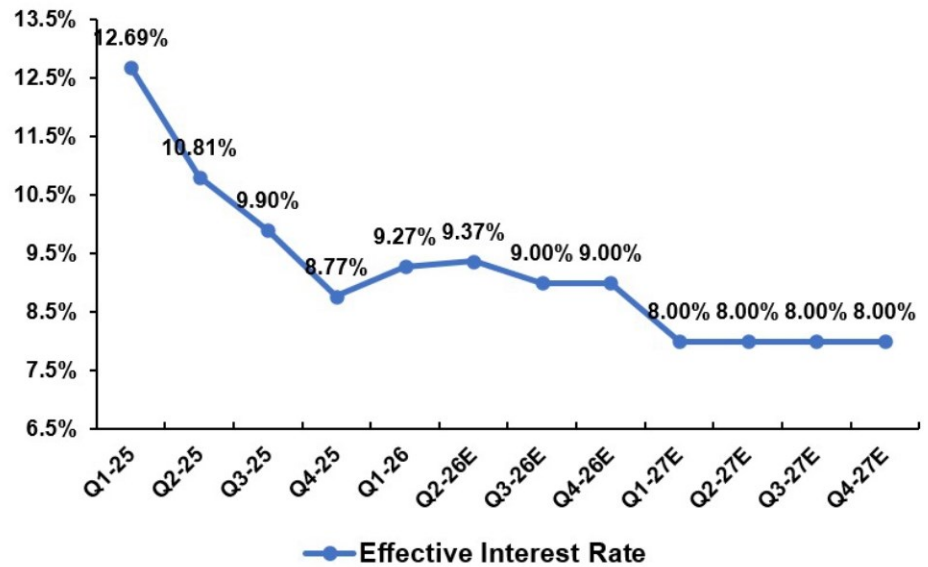
Asset-backed financing is driving lower cost of capital, and improving the roadmap to cash generation for the company.

The company has successfully driven down the effective cost of capital in its DDTLs, which fund the majority of its capex, by ~750bps on a spread basis from DDTL 1.0 in 2023 to DDTL 4.0 in March 2026 (and >500bps in DDTL 5.0). The asset-backed DDTLs have the potential to obtain an IG rating when the underlying deals are contracted with investment-grade customers – DDTL 4.0 became the first IG-rated financing secured by HPC infrastructure and an associated customer contract, receiving an A- equivalent rating from Moody's, Fitch and DBRS. In relation to cost of debt reduction on account of more favorable financing rates with better understanding now from lenders of the structure and resilience of the business model, as well as increasing reliance on asset-backed financing on account of the lower interest rates, the effective interest rate carried on successive DDTL vintages has stepped down from 15% on DDTL 1.0 (2023) to 11% on DDTL 2.0 (2024), 9% on DDTL 2.1 and DDTL 3.0 (2025) and 7% on DDTL 4.0 (2026). Management sized the 2025 improvement at ~300bps, or nearly \$700 mn of annualized interest savings against the 4Q25 debt balance, on top of a cumulative reduction of nearly 600bps since 2023. We forecast effective cost of debt to

remain at 9% by 2026-end before moderating to 8% by 2027-end.

Figure 17: Historical and Forecasted Effective Interest Rate for CoreWeave

Interest expense % of average total debt



Source: Company filings, J.P. Morgan

Unique financing instrument also helps with higher capital access post deployment to reduce parent company financing needs.

The asset-backed financing mechanism has multiple advantages for the company, including a lower cost of debt, as well as in some cases with non-recourse to parent, while also helping in unlocking additional capital once the project goes from construction to deployment when the capital commitment from lenders adjusts to the debt service capability of the asset; unlocking higher capital access, in turn reduces capital access requirements for the ParentCo. Assuming CoreWeave continues to expand its RPO balance at a rapid pace, the additional capital access for the Parent implies an offset of the ParentCo's needs for capital to fund future construction projects. As shown below in the instance of the \$8.5 bn DDTL facility, the additional capital unlocked is about \$1 bn once the project goes to deployment vs. construction with the loan rising from 90% of cost to 102% of cost, which typically implies the lowering of the ParentCo's capital needs by 12% of cost or about 5% of revenue associated with the project.

Figure 18: IG-Rated DDTLs' Accretive Nature to the ParentCo

	Change	Impact to CoreWeave	Commentary
Cost of Debt	S + 225 bps / 5.9% ⁽¹⁾		• Additional 175 bps reduction in cost of capital vs. DDTL 3.0 and ~750 bps decrease vs. inaugural DDTL 1.0
Parent-Level Debt	Unchanged		• Parent-level debt is unimpacted given lack of full recourse parent guaranty
Total Debt	+\$8.5 billion		• Increase to consolidated debt, in-line with previous DDTLs
Additional Capital Available to CoreWeave at Stabilization	+\$1.0 billion		• Unlocks significant additional capital at investment grade cost, reducing ParentCo's need for financing
Annualized EBITDA	Increases		• Growth in EBITDA while reducing Parent level leverage as deployments stabilize
Levered Free Cash Flow	Increases		• Continues to build on strong foundation of contracted levered free cash flow

Source: Company presentation

7. Customer concentration is a valid risk, but we are in a concentrated capital environment today

Customer concentration is high and will remain high, but will progressively improve and moderate.

We acknowledge the customer concentration risk for CoreWeave with top two customers accounting for ~65% of revenue in F1Q26, despite the improvement from F1Q25 when one customer accounted for 72% of revenue. Based on prior announcements and filings from CoreWeave, the top two concentrated customers for the company in the past have been Meta and Microsoft. That said, with the key agreements announced by CoreWeave with customers including Meta, OpenAI, Jane Street, Anthropic and Nvidia's \$6.3bn take-or-pay commitment for otherwise-unsold capacity, structured with interruptibility that lets CoreWeave resell that capacity, we expect the concentration to moderate but still remain substantial. Key customers which CoreWeave will likely have concentrated revenue exposure to even in a few years' time include Meta and OpenAI.

Figure 19: Announced Customers Contributing to Revenue Backlog

Ordered by commitment amount

Company	Revenue Backlog Commitments
Meta	\$35.2 bn
OpenAI	\$22.4 bn
Microsoft	\$10.0 bn+
Nvidia*	\$6.3 bn
Jane Street	\$6.0 bn

Note: Nvidia* figure cited is based on commitment to purchase unsold capacity with an option to re-sell capacity; Microsoft commitment was initially reported in June 2023 with sources citing the agreement could be worth "billions of dollars" over multiple years, with a subsequent report from November 2024 claiming that the Microsoft commitment was ~\$10B (see [link](#))

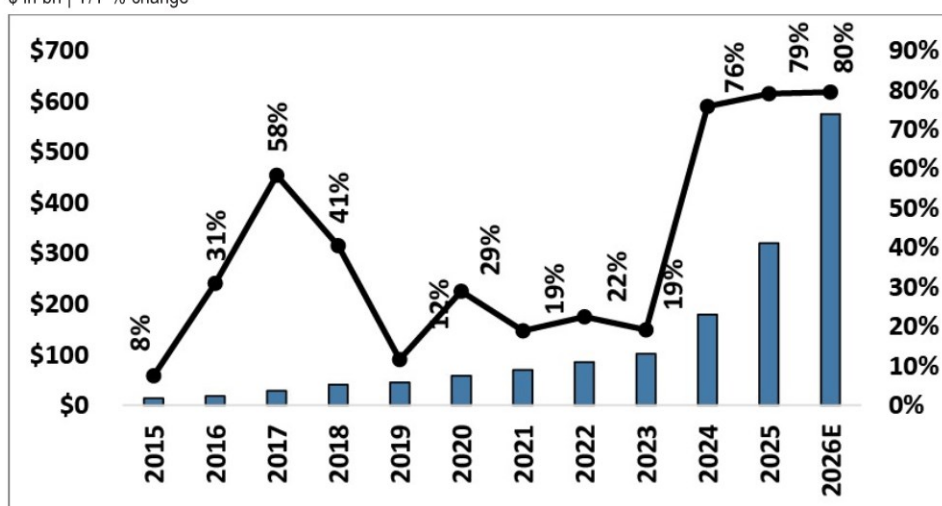
Source: Company filings, J.P. Morgan

Customer concentration risk for the industry stems from the concentrated capital backdrop, and is similar to other high-growth companies

While the customer concentration can be argued by investors to present a risk, we believe the origin of the customer concentration lies in the capital spend backdrop today where a primary portion of capital on AI is being driven by a select few companies, and in particular the four hyperscalers. As shown in the Figure below, of the investments in data center infrastructure by cloud and cloud-like companies, the hyperscalers are estimated to account for the majority, leaving most suppliers with a concentrated customer base.

Figure 20: Annual Hyperscaler Data Center Capex

\$ in bn | Y/Y % change



Source: 650 Group and J.P. Morgan Hardware & Networking Team estimates.

Additionally, customer concentration goes hand-in-hand with most high-growth companies on account of the concentrated capital backdrop. As shown in the table below, most high growth companies aligned to AI infrastructure demand today suffer from the same risk, not on account of their efforts to diversify but because of the select few companies driving the capital spend backdrop. Investors can opt for companies with lower customer concentration but the trade-off towards less-than prominent industry leadership and a lower growth outlook is quite likely as well.

Figure 21: Top AI Companies with High Customer Concentration Levels

Company	Top 2 Customers % of Total Revenue	Top Customers
NVIDIA	~36%	MICROSOFT & AMAZON
ARISTA NETWORKS	~42%	META & MICROSOFT
LUMENTUM	~31%	GOOGLE & CIENA
BROADCOM	~35%*	GOOGLE & APPLE

Note: Broadcom's top 2 customer concentration percentage is our estimate based on its wireless and semis revenues
Source: Bloomberg Finance L.P., J.P. Morgan

8. Valuation implies upside, but on execution to the show-me margin improvement

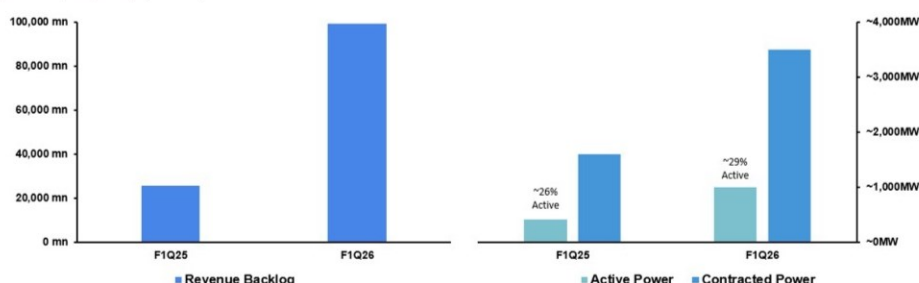
Magnitude of near-term upsides limited by longer-term commitments

One piece of investor feedback we hear often causing hesitation to take a bullish view is a concern around magnitude of near-term upsides. We acknowledge that when it comes to comparing the magnitude of upsides to the expectations set by the strength in demand, the magnitude of upside to expectation is gated by the pace of capacity being brought online, even though revenue backlog and contracted power are both inflecting.

As shown in the Figure below, in percentage terms, revenue backlog is up 284% y/y in F1Q26 (RPO for the next 24 months up 318% y/y), while contracted power is up 119% and active power is up modestly higher at 138% off a lower base, implying that visibility into capacity is not keeping pace with demand, and unless capacity additions accelerate materially, we will likely soon see the dynamic of slow-down in revenue backlog growth to adjust to the slower pace of capacity increases.

Figure 22: Y/Y Change in Revenue Backlog

\$ in mn | Capacity (Power) in MW



Source: Company filings, J.P. Morgan

Said another way, the increase in Active power over the last 12 months period is 580MW vs. increase in Contracted power of about 1900MW, with Active Power continuing to track in the range of 27%-28% of Contracted power which indicates that there has been limited acceleration in Active power to drive greater than expected near-term upsides.

However levers still remain for upside including timing of capacity and pricing

That said, while the magnitude of upsides drivers on revenue and profitability are constrained relative to the significant demand backdrop by the pace of capacity additions, there still remains some levers for upside through the year relative to expectations outlined by the company, including: 1) timing of delivery of capacity, with faster ramping, including even earlier in the quarter relative to latter in the quarter, can set up for consistent upsides through the year; 2) pricing of contracts on account of stronger demand as well as ability to bring online leading generation compute ahead of competitors driving premium pricing and margins; and 3) leveraging fully depreciated GPUs out of contract with customers willing to pay the current on-demand price in the market. The above upside drivers are vis-à-vis the execution risk associated with missing customer deadlines on projects and delayed revenue recognition compared to expectations on that account.

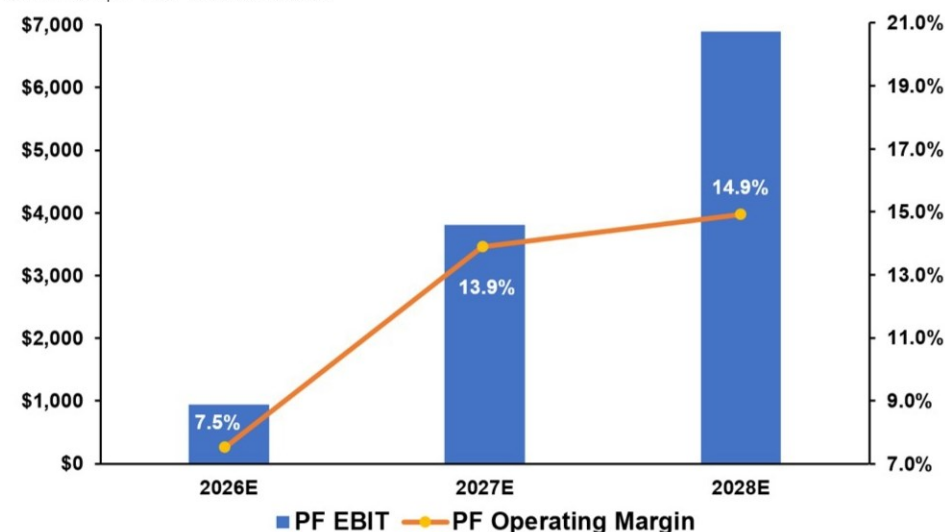
Investors are most focused on the margin execution

Unsurprisingly, for investors the key metric for CoreWeave is the execution to the margin story outlined by the company in which it should, long-term, deliver margin commensurate to the mid-20% contribution margin highlighted by the company. The focus on margins stems from the acknowledgement of the timing of capital investments to materialize to revenues with a lag on account of the need for infrastructure build to support the revenue growth, but while the timing of capex does influence cash flows, investors are pivoting to margins to evaluate: 1) the pricing power in the AI compute infrastructure business; 2) increasing progress in relation to software stack capabilities, which are at higher margins; and 3) the company's ability to translate the supply constrained industry backdrop to deliver revenues with adequate profitability over a long-term horizon assuming strength in the AI capital investment cycle. In relation to implications of the margin progress on valuation, the increase in EBIT year-over-year will be one of the biggest drivers of upside to the equity valuation, offset partly by the increasing debt on the balance sheet to support the acceleration.

As shown in the Figure below, we are forecasting FY26 Pro-forma EBIT of ~\$941 mn at 7.5% operating margins, progressing to \$3.8 bn at 13.9% margins in 2027E, and \$6.9 bn at 14.9% margins in 2028E, with the implied strength in EBIT growth being the primary driver of upside to valuation.

Figure 23: PF EBIT and Operating Margin Projections

\$ in millions | PF EBIT % of total revenue



Source: Company filings, J.P. Morgan

Believe best comparables represent AI compute infrastructure companies including hyperscalers.

As shown in the Figure below with our preferred comparables, we believe the AI infrastructure builders are the best comparable companies for CoreWeave, including Amazon, Google, Microsoft, Meta, Oracle, Equinix and DigitalOcean which trade at a 2027E average of ~24x EV/ Pro-Forma Operating Income. We believe a modest premium is justified for CoreWeave on account of its much higher revenue growth

expectations than the peer-group average, but at the same time offset by a lower margin than the peer-group average. As highlighted above, we forecast margins in 2030 to remain in the mid-teens range relative to the mid-20% contribution margins on account of the rapid buildout of infrastructure, although if the company were to make better progress towards the mid-20% margin than embedded in our 2030 forecast, we expect to see investors willing to attribute a more significant premium to the peer group relative to the 27x EV/ Pro-Forma Operating Income we are leveraging.

Figure 24: Relative Valuation Multiples

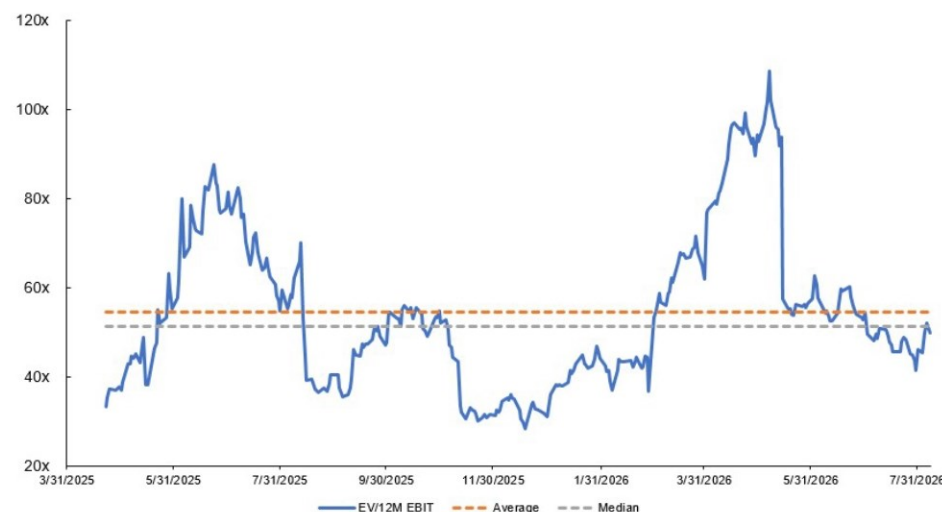
EV Build							Op Inc Metrics											
Ticker	Price (8/10/2026)	Market Cap (\$M)	Shares (M)	Cash (\$M)	Debt (\$M)	EV (\$M)	CY26E PF Op Inc	CY27E PF Op Inc	CY28E PF Op Inc	CY26E PF Op Margin	CY27E PF Op Margin	CY28E PF Op Margin	EV/CY26E PF Op Inc	EV/CY27E PF Op Inc	EV/CY28E PF Op Inc	EV/CY26E GAAP Op Inc	EV/CY27E GAAP Op Inc	EV/CY28E GAAP Op Inc
AI Infrastructure Builders																		
AMZN	\$278.09	2,999,566	10,786	122,988	145,675	3,022,253	109,782	140,418	180,422	13.3%	14.8%	16.5%	27.5x	21.5x	16.8x	27.5x	21.5x	16.8x
GOOG	\$355.84	4,351,923	12,230	242,474	100,613	4,210,062	203,030	253,002	308,243	47.0%	46.7%	46.0%	20.7x	16.6x	13.7x	24.4x	19.4x	15.8x
MSFT	\$506.06	3,757,772	7,426	76,843	106,888	3,787,817	167,712	197,063	239,106	46.7%	46.2%	46.5%	22.6x	19.2x	15.8x	22.6x	19.2x	15.9x
META	\$594.92	1,515,562	2,548	90,260	83,664	1,508,966	115,981	135,212	158,428	45.7%	44.4%	43.9%	13.0x	11.2x	9.5x	17.3x	14.7x	12.2x
ORCL	\$151.05	435,095	2,880	31,894	137,242	540,443	32,894	42,556	59,751	41.8%	38.5%	37.0%	16.4x	12.7x	9.0x	22.0x	16.1x	11.0x
EQIX	\$1,043.38	102,952	99	2,224	21,989	122,717	2,443	2,797	3,215	23.8%	24.7%	25.8%	50.2x	43.9x	38.2x	51.7x	45.3x	39.9x
DOCX	\$129.73	15,254	118	767	921	15,408	245	356	600	20.8%	19.7%	22.3%	62.8x	43.2x	25.7x	141.5x	78.6x	41.3x
Average							90,298	110,201	135,681	34.1%	33.6%	34.0%	30.5x	24.1x	18.4x	43.9x	30.7x	21.8x
Median							109,782	135,212	158,428	41.8%	38.5%	37.0%	22.6x	19.2x	15.8x	24.4x	19.4x	15.9x

Source: J.P. Morgan, Bloomberg Finance L.P. as of 8/10/26

CRWV shares are not trading very far from average.

While we only have a short history to go by when it comes to CRWV shares being publicly traded, as shown in the Figure below, the EV/ EBIT multiple for the shares on a 12-month forward basis are currently roughly similar to the short-term average, although with significant volatility in both directions.

Figure 25: Historical EV/EBIT Multiple



Source: Bloomberg, Finance L.P., J.P. Morgan

Maintain Neutral as F3Q margin outlook unlikely to be a positive catalyst.

As shown in the Figure below, our Dec-27 price target for CoreWeave is based on a target multiple of 27x EV/ EBIT on our 2028 forecasts, relative to the shares already trading at 35x our 2027 EV/ EBIT forecasts, as we believe the strong revenue growth momentum will limit the convergence of margins to the mid-20% contribution margins in the medium-term. We are maintaining a Neutral rating as the F3Q operating margin outlook is unlikely to be a positive catalyst with JPMe forecast of 7% below consensus

of 7.5%.

Table 1: Price Target Math

Units in millions

Price Target Math	2027E	2028E
Pro-forma EBIT	3,805	6,893
EV/EBIT Multiple	34.8x	
Target EV/EBIT Multiple		27x
Enterprise Value	132,262	184,721
Net Debt	77,044	114,434
Equity Value	55,218	70,287
Shares Outstanding	626	640
Implied Target Share Price		\$ 110.00
<i>Implied Upside</i>		25%
Current Share Price	\$ 88.19	\$ 88.19
Memo:		
Implied EV/Revenue	4.8x	4.0x
Implied EV/EBITDA	7.8x	6.6x

Source: J.P. Morgan, Company reports, Bloomberg Finance L.P. as of 8/10/26

Investment Thesis, Valuation and Risks

CoreWeave (*Neutral; Price Target: \$110.00*)

Investment Thesis

We have a constructive outlook on CoreWeave, which has established itself as a leader in scaling AI compute while at the same time continuing to progress towards an increasingly relevant PaaS vendor with high-margin hardware and software attach to the offered compute. We are favorable on the demand outlook for CoreWeave, with recent datapoints on pricing for compute deals from SpaceX highlighting the supply-demand imbalance in the industry, which we forecast to widen in the medium-term. In relation to investor concerns relative to the risks associated with sustainability of demand and overcapacity on account of lower demand in the future, we believe CoreWeave is appropriately mitigating risk through capacity investments tied to specific customers and also by limiting challenges from component price inflation by locking in supply for a committed customer, even though both of the above, on the flip-side, do limit the magnitude of upside to near-term forecasts. Despite our favorable outlook for the company, we envision execution on margins to be the most critical watchpoint for investors and, in that regard, we see limited near-term catalysts, leading us to stay Neutral-rated at this time. We rate CoreWeave Neutral.

Valuation

We are establishing a Dec-27 PT of \$110 based on a ~27x EV/PF EBIT, which is derived from our CY28 PF EBIT estimate of \$6.9B for CoreWeave (our prior Dec-26 PT was \$105). Our EV/CY28E PF EBIT multiple for CoreWeave is at a premium to its primary comp set of AI hardware / software infrastructure providers (cloud service, GPU, foundational model, and modern networking providers). The primary comparable set of industry peers trade at an average of ~24x EV/ CY27 PF EBIT. We believe the premium multiple is warranted given CoreWeave's elevated growth rate, large AI-related market opportunities, and solution differentiation, partially offset by high debt loads required to finance heavy CapEx outlays for the foreseeable future, and high execution risk.

Risks to Rating and Price Target

Upside Risks

Faster Conversion of Contracted Capacity into Revenue. Near-term financials are gated by the pace at which contracted power becomes active capacity, not by demand. Earlier energization, faster installation, or easing supply constraints pull revenue forward and shorten the period over which front-loaded facility, power, and labor costs are carried without offsetting revenue, benefiting both the top line and margins.

Higher Attach of Platform and Adjacent Services. Storage, networking, CPU, orchestration, and managed inference carry higher margins than raw compute. Rising attach via customer diversification toward buyers with less internal software capability, further software-layer build-out, or acquisition would lift blended contribution margin above the project-level target anchoring our base case, and support a higher multiple by moving the story away from mainly IaaS.

Continued Reduction in the Cost of Capital. Spread compression, more investment-grade customers, or broader ratings recognition of the collateral each could lower interest expense and lower the residual parent-level funding requirement, reducing prospective dilution.

Re-contracting Economics on Depreciated Capacity. Observed useful life has run longer than both the depreciation schedule and contract duration. Capacity coming out of contract can be re-let at market rates against a depreciated asset base at incremental economics well above the initial contract.

Downside Risks

Execution on Capacity Delivery. Revenue is contracted ahead of deployment against defined dates, making the principal operating risk execution rather than demand. Delays could trigger penalties, renegotiation, or cancellation, while slipped revenue lands in periods where costs are already absorbed. With pricing and equipment cost fixed at signing, a shortfall compresses margins.

Concentration of Revenue and Counterparty Funding. Several major counterparties to CoreWeave fund their own AI investment from capital markets rather than operating cash flow, so their ability to honor multi-year commitments is financing-sensitive. Concentration compounds financing risk, since individual contracts collateralize the debt funding the associated build.

Dependence on Continued Capital Access. Growth for CoreWeave is dependent on capital access. Wider spreads, lower advance rates, weaker collateral ratings, or unreceptive equity/debt markets could force a slower build and cut out-year capacity.

Supply Chain, Power, and Input Cost Dependence. A single primary accelerator vendor, a narrow component base, and third-party shells and power underpin CoreWeave's business. Allocation, shortages, interconnection delays, or permitting can defer already-contracted capacity.

CoreWeave: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	1,915	5,131	12,501	27,397	46,201	Revenue	2,078A	2,525	3,366	4,532	
COGS	(492)	(1,438)	(3,850)	(7,724)	(12,705)	COGS	(714)A	(795)	(1,027)	(1,314)	
Gross profit	1,423	3,693	8,651	19,673	33,496	Gross profit	1,364A	1,730	2,340	3,218	
SG&A	(117)	(318)	(528)	(613)	(671)	SG&A	(120)A	(128)	(138)	(142)	
Adj. EBITDA	1,219	3,095	7,259	16,956	28,145	Adj. EBITDA	1,157A	1,366	1,916	2,821	
D&A	(863)	(2,428)	(6,319)	(13,151)	(21,252)	D&A	(1,136)A	(1,300)	(1,680)	(2,203)	
Adj. EBIT	356	668	941	3,805	6,893	Adj. EBIT	21A	66	236	618	
Net Interest	(313)	(1,197)	(3,014)	(5,077)	(7,616)	Net Interest	(512)A	(689)	(838)	(976)	
Adj. PBT	(713)	(502)	(2,073)	(1,272)	(723)	Adj. PBT	(491)A	(622)	(602)	(358)	
Tax	(119)	48	(560)	322	129	Tax	(84)A	(120)	(166)	(191)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	(65)	(605)	(2,713)	(951)	(594)	Adj. Net Income	(589)A	(757)	(783)	(584)	
Reported EPS	(1.92)	(2.39)	(6.10)	(3.75)	(4.38)	Reported EPS	(1.40)A	(1.64)	(1.72)	(1.34)	
Adj. EPS	(0.14)	(1.24)	(5.09)	(1.74)	(1.07)	Adj. EPS	(1.12)A	(1.43)	(1.47)	(1.08)	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	450	489	533	546	558	Shares outstanding	527A	531	534	538	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,361	3,161	1,747	3,316	3,927	Gross margin	74.3%	72.0%	69.2%	71.8%	72.5%
Accounts receivable	417	3,169	4,192	8,116	11,524	EBITDA margin	63.7%	60.3%	58.1%	61.9%	60.9%
Inventories	-	-	-	-	-	EBIT margin	18.6%	13.0%	7.5%	13.9%	14.9%
Other current assets	139	1,158	1,598	2,053	2,974	Net profit margin	(3.4%)	(11.8%)	(21.7%)	(3.5%)	(1.3%)
Current assets	1,916	7,488	7,537	13,485	18,425	ROE	(9.9%)	(26.1%)	(85.1%)	(35.9%)	(29.2%)
PP&E	11,915	30,557	59,181	99,584	152,617	ROA	(0.7%)	(1.8%)	(4.0%)	(0.8%)	(0.3%)
LT investments	-	-	-	-	-	ROCE	9.0%	4.7%	3.4%	7.3%	8.0%
Other non current assets	4,002	11,257	18,656	31,363	55,180	SG&A/Sales	6.1%	6.2%	4.2%	2.2%	1.5%
Total assets	17,833	49,302	85,374	144,432	226,222	Net debt/equity	5.0	5.2	14.4	34.2	62.8
Short term borrowings	2,468	6,708	9,228	9,737	11,914	P/E (x)	NM	NM	NM	NM	NM
Payables	868	1,623	2,813	5,120	8,813	P/BV (x)	-	-	-	-	-
Other short term liabilities	1,626	8,109	8,091	10,966	16,019	EV/EBITDA (x)	51.6	23.9	13.8	7.9	6.1
Current liabilities	4,963	16,440	20,131	25,822	36,746	Dividend Yield	-	-	-	-	-
Long-term debt	5,458	14,665	36,910	71,401	107,224	Sales/Assets (x)	0.2	0.2	0.2	0.2	0.2
Other long term liabilities	6,104	14,862	25,294	44,957	80,430	Interest cover (x)	3.9	2.6	2.4	3.3	3.7
Total liabilities	16,524	45,967	82,335	142,180	224,401	Operating leverage	-	52.2%	28.5%	255.6%	118.2%
Shareholders' equity	1,309	3,335	3,039	2,252	1,822	Revenue y/y Growth	-	167.9%	143.6%	119.2%	68.6%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	-	153.9%	134.5%	133.6%	66.0%
Total liabilities & equity	17,833	49,302	85,374	144,432	226,222	Tax rate	(16.7%)	(16.4%)	(30.8%)	(25.3%)	(17.8%)
BVPS	-	-	-	-	-	Adj. Net Income y/y Growth	-	832.6%	348.2%	(65.0%)	(37.5%)
y/y Growth	-	-	-	-	-	EPS y/y Growth	-	757.9%	311.3%	(65.8%)	(38.8%)
Net debt/(cash)	6,528	17,393	43,614	77,044	114,434	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	2,749	3,058	9,149	20,122	36,896						
o/w Depreciation & amortization	863	2,428	6,319	13,151	21,252						
o/w Changes in working capital	1,678	633	4,934	7,758	16,075						
Cash flow from investing activities	(8,658)	(11,161)	(35,648)	(53,553)	(74,286)						
o/w Capital expenditure	(8,702)	(11,199)	(35,635)	(53,553)	(74,286)						
as % of sales	454.3%	218.3%	285.1%	195.5%	160.8%						
Cash flow from financing activities	7,465	10,197	25,193	35,000	38,000						
o/w Dividends paid	0	(29)	0	0	0						
o/w Net debt issued/(repaid)	6,434	9,366	23,234	35,000	38,000						
Net change in cash	1,556	2,094	(1,307)	1,569	611						
Adj. Free cash flow to firm	(5,953)	(8,141)	(26,486)	(33,431)	(37,389)						
y/y Growth	-	36.8%	225.3%	26.2%	11.8%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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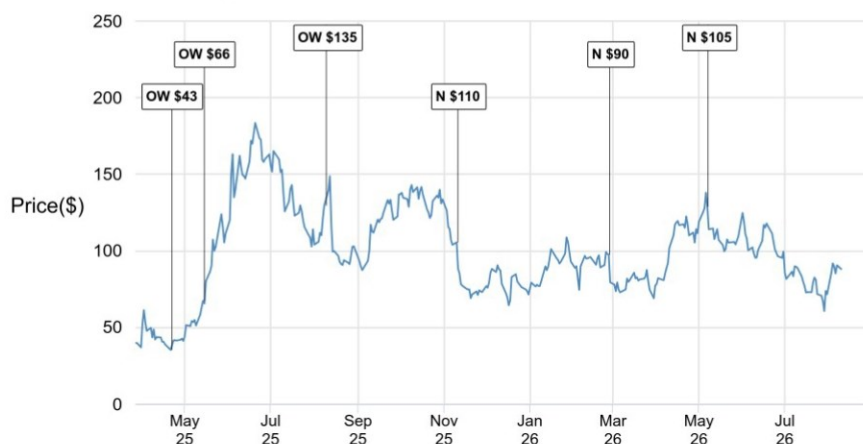
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CoreWeave (CRWV, CRWV US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
22-Apr-25	OW	35.42	43
15-May-25	OW	67.46	66
10-Aug-25	OW	129.55	135
11-Nov-25	N	105.61	110
27-Feb-26	N	97.63	90
08-May-26	N	128.84	105

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 22, 2025. All share prices are as of market close on the previous business day.

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